

There are many other stock market superstitions—sell in May and go away; let your winners run, but cut your losses; head and shoulders patterns; this is a stock-pickers' market; the Santa Claus rally; invest in what you know; do your homework; buy with a margin of safety; and so forth. Some of these stories are backed by evidence; others are not. We should not believe these stories indiscriminately, just because they seem to make sense or some ostensible authority figure insists they are true. The main point is that one's investment process should not be based on a story, but rather, on an evidence-based process that demonstrates robustness over time. Below, we outline three common and compelling market stories where empirical evidence is lacking (there are many more).

Myth #1 Warren Buffett Beats Ben Graham

Ben Graham, Warren Buffett's mentor and original employer, had a strict focus on margin of safety. Graham's investment philosophy was to *always buy cheap* and never stray from a low price strategy. The essence of Ben Graham is captured in two of his recommended investment approaches:

1. Purchase stocks at less than their net current asset value, a strategy Graham considered “almost unfailingly dependable and satisfactory.”⁶
2. Create a portfolio of stocks a minimum of 30 stocks meeting specific price-to-earnings criteria (below 10) and specific debt-to-equity criteria (below 50 percent).⁷

Both of these investment approaches maintain an overarching theme involving paying a low price, independent of quality.

When Buffett came in to the spotlight, he suggested a wrinkle in Graham's original approach. Buffet's own words capture the flavor of his investment approach:

“It's far better to buy a wonderful company at a fair price than a fair company at a wonderful price.”⁸

In a Buffett world, Coke at a price-to-earnings ratio of 20 might be a value stock, but the textile firm Berkshire Hathaway may be overpriced at a P/E of 5. In a Graham world, Berkshire Hathaway is always the better bet. Anecdotally, it is easy to claim that Buffett was the clear winner in the